



Problem 1: Applying Scrum in a Telemedicine App Project

Scenario: A company building a telemedicine mobile app faces challenges with changing requirements. The Product Owner frequently modifies the backlog during sprint planning, lowering team productivity and confusing stakeholders.

Task:

Analyze Scrum roles, identify what caused requirement instability, propose an improved backlog prioritization method, and recommend retrospective action items.

Deliverables:

- Explanation of Scrum roles and responsibilities
- Root cause analysis
- Improved backlog prioritization plan
- Retrospective improvement suggestions

Reasoning:

This mirrors real Agile team challenges such as requirement churn, poor backlog grooming, and team alignment issues skills required for effective Agile project management.

Scenario

A company developing a **Telemedicine Mobile Application** is facing problems because the **Product Owner frequently changes the Product Backlog during Sprint Planning**. These frequent changes reduce team productivity, confuse developers, delay project completion, and create dissatisfaction among stakeholders. Scrum provides a structured framework to solve these issues through proper role management, backlog prioritization, and continuous improvement.

1. Explanation of Scrum Roles and Responsibilities

Scrum consists of three major roles that work together to successfully complete a software project.

Scrum Role	Responsibilities	Role in This Scenario
Product Owner (PO)	Maintains the Product Backlog, gathers customer requirements, prioritizes features, and ensures maximum product value.	Frequently changes backlog items, causing requirement instability and confusion.
Scrum Master	Guides the Scrum process, organizes Scrum events, removes obstacles, and ensures Agile principles are followed.	Should control unnecessary backlog changes, improve communication, and help the team follow Scrum practices.
Development Team	Designs, develops, tests, and delivers a working software increment at the end of every sprint.	Experiences delays, reduced productivity, and confusion due to continuously changing requirements.

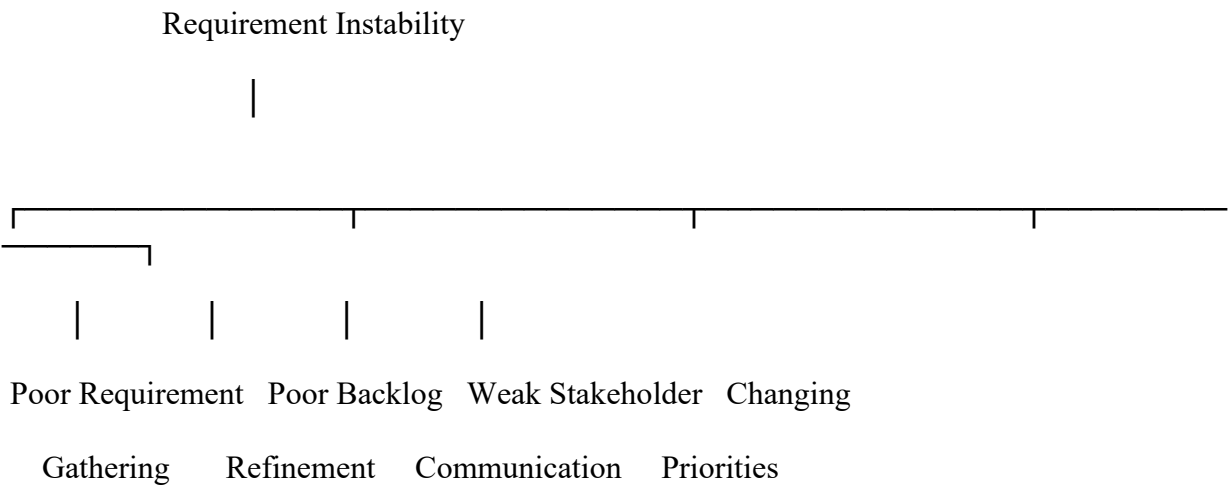
2. Root Cause Analysis

The project suffers from **requirement instability**, meaning the project requirements change frequently during sprint planning.

Root Causes

Problem	Root Cause	Impact
Frequent backlog modifications	Poor requirement gathering	Developers become confused.
Changing customer requests	Weak stakeholder communication	Sprint goals change frequently.
Last-minute requirement updates	Improper backlog refinement	Delays in sprint planning.
No clear product vision	Poor prioritization	Features keep changing.
Changing business priorities	Lack of planning	Reduced team productivity.

Root Cause Diagram



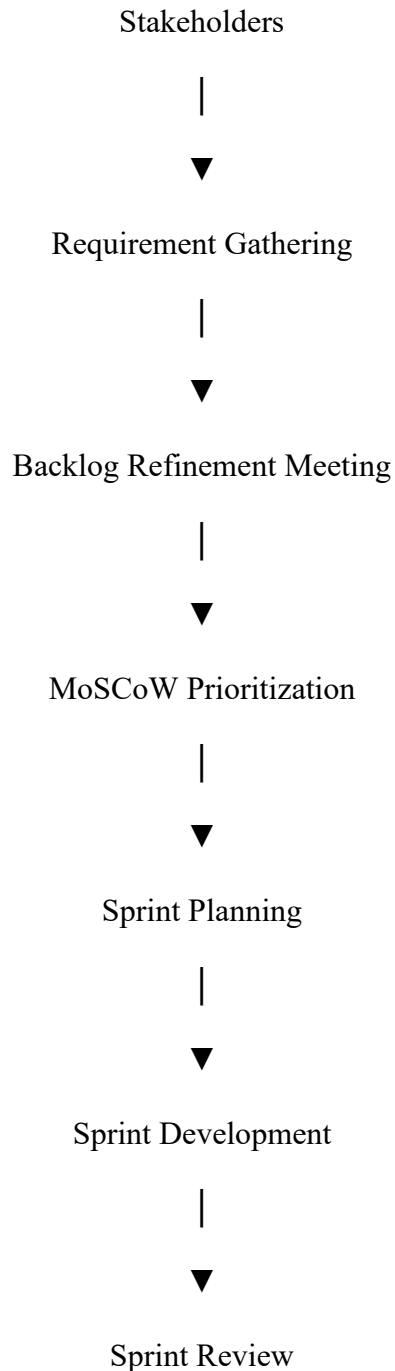
3. Improved Backlog Prioritization Plan

To reduce frequent backlog changes, the project should adopt the **MoSCoW Prioritization Method**.

MoSCoW Prioritization Table

Priority	Description	Telemedicine App Example
Must Have	Essential features required for the application to function.	Patient Login, Doctor Login, Video Consultation, Appointment Booking
Should Have	Important features but can be delivered later if necessary.	Online Prescription, Payment Gateway, Medical History
Could Have	Additional features that improve user experience.	Dark Mode, Health Tips, Multi-language Support
Won't Have (Current Sprint)	Features planned for future releases.	AI Diagnosis, Smart Health Analytics, Wearable Device Integration

Improved Backlog Management Flow



Benefits

- Reduces unnecessary backlog changes.
- Improves sprint planning.
- Helps developers focus on important features.
- Improves communication among stakeholders.
- Increases customer satisfaction.
- Delivers software on time.

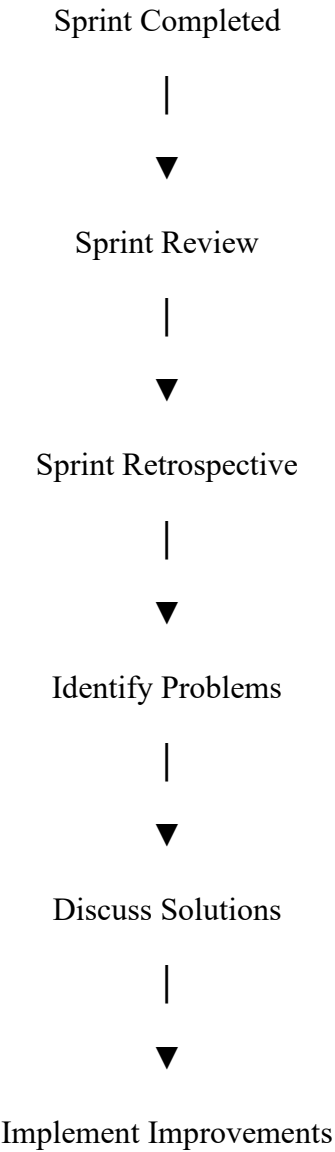
4. Retrospective Improvement Suggestions

At the end of every sprint, the Scrum team should conduct a **Sprint Retrospective** to identify problems and improve future performance.

Recommended Action Items

Action Item	Purpose
Conduct regular backlog refinement meetings.	Finalize requirements before Sprint Planning.
Improve communication with stakeholders.	Reduce unexpected requirement changes.
Freeze the Sprint Backlog after Sprint Planning.	Avoid unnecessary changes during development.
Define clear acceptance criteria for every backlog item.	Ensure developers understand requirements completely.
Review completed work after every sprint.	Identify mistakes and improve future performance.
Encourage collaboration among team members.	Improve productivity and teamwork.
Maintain proper documentation of requirements.	Reduce misunderstanding and confusion.

Sprint Retrospective Improvement Flow



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Next Sprint

Improved Solution

Using the **MoSCoW Method**:

- **Must Have:** Video Consultation
- **Should Have:** Online Payment
- **Could Have:** Chat Feature
- **Won't Have:** AI Doctor Recommendation (Future Sprint)

This keeps the sprint focused and prevents unnecessary disruptions.

Simple Scrum Workflow (Pseudocode)

START

Collect requirements from stakeholders.

Product Owner creates the Product Backlog.

Conduct Backlog Refinement Meeting.

Prioritize backlog using MoSCoW Method.

Conduct Sprint Planning.

Freeze Sprint Backlog.

Development Team develops selected features.

Conduct Daily Scrum Meetings.

Complete Sprint.

Conduct Sprint Review.

Conduct Sprint Retrospective.

Identify problems and implement improvements.

Repeat the process for the next Sprint.

STOP

Conclusion

The Telemedicine App Project experiences requirement instability because the Product Owner frequently changes the Product Backlog without proper planning and backlog refinement. Scrum can effectively solve this issue by clearly defining team roles, improving communication, adopting the **MoSCoW prioritization method**, and conducting regular Sprint Retrospectives. These practices help reduce confusion, improve productivity, maintain stable sprint goals, and ensure the successful delivery of a high-quality telemedicine application.

Problem 2: Feasibility Study for a Smart Parking System

Scenario: A startup wants to implement a real-time smart parking system using sensors and a mobile booking application. They must evaluate whether the project is practical before investing.

Task:

Conduct technical, operational, and financial feasibility analysis and identify one design-thinking activity to capture user needs.

Deliverables:

- Technical feasibility summary
- Operational feasibility report
- Basic cost benefit estimation
- One user-centric design-thinking activity description

Reasoning:

Students learn how real companies evaluate risk, cost, and practicality before starting large-scale IoT or mobile app projects.

Scenario

A startup company plans to develop a **Smart Parking System** that uses **IoT sensors** to detect vacant parking spaces and a **mobile application** that allows users to find and book parking spaces in real time. Before investing in the project, the company must determine whether the project is technically possible, operationally practical, and financially beneficial. A feasibility study helps the company identify risks, estimate costs, and decide whether the project should proceed.

1. Technical Feasibility Summary

Technical feasibility determines whether the required technology, hardware, software, and technical expertise are available to successfully develop the Smart Parking System.

Technical Factor	Analysis
Hardware	IoT sensors, cameras, GPS modules, parking controllers, and servers are available in the market.
Software	Mobile application, cloud database, web dashboard, and booking software can be developed using modern technologies such as Android, Flutter, Firebase, and cloud platforms.
Internet Connectivity	Stable Wi-Fi or mobile internet is required for real-time communication between sensors and the application.
Technical Skills	Developers with knowledge of IoT, mobile app development, cloud computing, and databases are required.
Security	Secure user authentication, encrypted communication, and data privacy mechanisms are necessary to protect user information.

2. Operational Feasibility Report

Operational feasibility evaluates whether the system can be successfully used by customers and managed by the organization.

Operational Factor	Analysis
Ease of Use	The mobile application should provide a simple and user-friendly interface for booking parking spaces.
Customer Acceptance	Drivers are likely to use the system because it saves time and reduces the effort required to search for parking.
Employee Training	Parking management staff require basic training to monitor the system and resolve issues.
Maintenance	Regular maintenance of sensors, servers, and mobile applications is necessary for accurate operation.
System Reliability	The system should provide real-time parking updates with minimum downtime.

3. Basic Cost-Benefit Estimation

A cost-benefit analysis compares the expected project costs with the expected benefits.

Estimated Project Cost

Cost Item	Estimated Cost (₹)
IoT Sensors	2,50,000
Mobile Application Development	3,00,000
Cloud Server and Database	1,00,000
Installation and Networking	1,50,000
Testing and Maintenance	1,00,000
Total Estimated Cost	9,00,000

Expected Benefits

Benefit	Description
Increased Revenue	Parking reservation charges generate income.
Time Saving	Drivers find parking spaces quickly.
Reduced Traffic Congestion	Less time spent searching for parking.
Better Parking Management	Efficient monitoring of available parking spaces.
Customer Satisfaction	Convenient and reliable parking experience.

Cost-Benefit Summary

Category	Amount (₹)
Total Estimated Cost	9,00,000
Estimated Annual Revenue	15,00,000
Estimated Annual Profit	6,00,000

4. User-Centric Design-Thinking Activity

Activity: User Interviews

User Interviews are conducted to understand the real needs, problems, and expectations of people who use parking facilities.

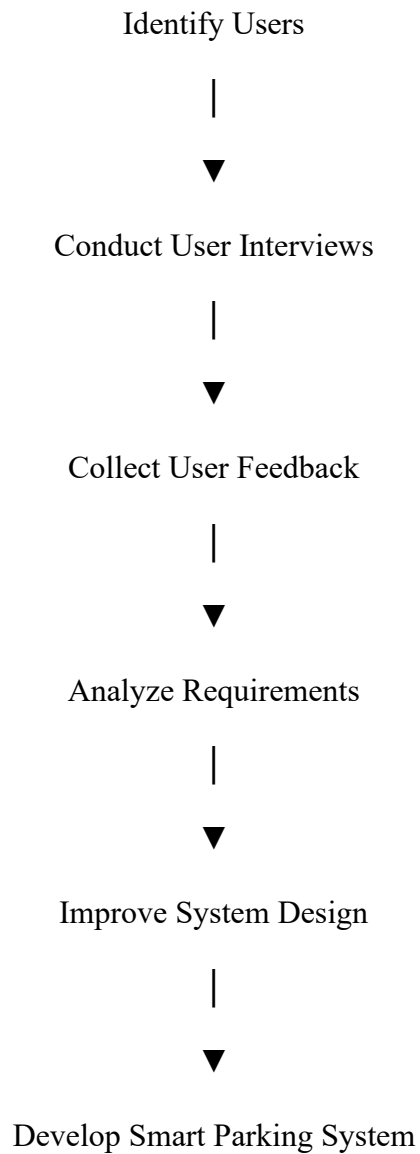
Process

1. Identify different types of users such as car drivers, bike riders, parking staff, and parking managers.
2. Ask users about the difficulties they face while searching for parking spaces.
3. Record their suggestions and expectations for a smart parking application.
4. Analyze the collected feedback.
5. Use the feedback to improve the system design before development begins.

Benefits of User Interviews

- Helps understand real customer problems.
- Improves user satisfaction.

Design Thinking Process Flow



Example

A driver spends **20 minutes** searching for a parking space in a busy shopping mall.

Using the Smart Parking System:

- The mobile application displays available parking spaces in real time.
- The driver books a parking space before arriving.
- IoT sensors confirm that the parking slot is available.
- The driver parks without wasting time.

This improves customer satisfaction and reduces traffic congestion.

Feasibility Analysis Workflow (Pseudocode)

START

Identify project requirements.

Check Technical Feasibility.

IF technology is available

Continue.

ELSE

Stop project.

ENDIF

Check Operational Feasibility.

IF users and organization can operate the system

Continue.

ELSE

Improve operational plan.

ENDIF

Estimate Project Cost.

Estimate Expected Benefits.

IF Benefits > Cost

Approve project.

ELSE

Re-evaluate project.

ENDIF

Conduct User Interviews.

Collect user feedback.

Improve system design.

START development.

STOP

Conclusion

The Smart Parking System is **technically feasible** because the required IoT devices, mobile application technologies, cloud platforms, and internet connectivity are available. It is **operationally feasible** because it simplifies parking management, reduces traffic congestion, and provides a better user experience. The **cost-benefit analysis** indicates that the expected annual revenue exceeds the project cost, making it financially feasible. Finally, conducting **User Interviews** as a design-thinking activity helps capture real user needs, ensuring the system is user-friendly and effective.

Problem 3: Lean + XP in a Real-Time Tutoring Platform

Scenario: A team developing a real-time tutoring platform wants to reduce waste using Lean and improve quality using Extreme Programming (XP).

Task:

Identify wastes, choose XP practices, design a combined workflow, and write a user story with an acceptance test.

Deliverables:

- List of Lean wastes
- Explanation of chosen XP practices
- Lean + XP workflow diagram or description
- User story + acceptance criteria

Reasoning:

This task reflects modern software product development where fast delivery, waste reduction, and continuous quality improvement are essential.

Scenario

A software development team is building a **Real-Time Tutoring Platform** where students can attend live classes, interact with tutors, book sessions, and receive instant feedback. The team wants to improve development efficiency by using **Lean Software Development** to eliminate waste and **Extreme Programming (XP)** to improve software quality. By combining both methodologies, the team can deliver high-quality software faster while reducing unnecessary work.

1. List of Lean Wastes

Lean Software Development focuses on identifying and eliminating activities that do not add value to the customer. These unnecessary activities are called **wastes**.

Lean Waste	Description	Example in Tutoring Platform
Partially Done Work	Features started but not completed.	Video call feature is only half-developed.
Extra Features	Developing features that users do not need.	Adding unnecessary animations that students never use.
Relearning	Repeating work because knowledge is not documented.	Developers repeatedly ask how the payment module works.
Handoffs	Too many transfers of work between team members.	Code passes through many developers before completion.
Task Switching	Frequently changing from one task to another.	Developer switches between chat module and payment module.
Waiting	Team members wait for approvals or resources.	Developers wait for UI design before coding.
Defects	Software bugs requiring additional corrections.	Video classes disconnect due to coding errors.

Summary of Lean Wastes

- Partially Done Work
- Extra Features
- Relearning
- Handoffs
- Task Switching
- Waiting
- Defects

2. Explanation of Chosen XP Practices

Extreme Programming (XP) improves software quality through continuous testing, collaboration, and simple design.

Selected XP Practices

XP Practice	Explanation	Benefit
Pair Programming	Two developers work together on the same code.	Reduces coding mistakes and improves code quality.

XP Practice	Explanation	Benefit
Test-Driven Development (TDD)	Test cases are written before writing the actual code.	Produces reliable and bug-free software.
Continuous Integration (CI)	Code is integrated and tested regularly.	Detects errors early and avoids integration problems.
Simple Design	Build only what is currently required.	Reduces unnecessary complexity.
Refactoring	Improve existing code without changing functionality.	Makes the software easier to maintain.
Continuous Feedback	Customers regularly review the software.	Ensures the product meets user expectations.

Benefits of XP

- Improves software quality.
- Detects bugs early.
- Enhances teamwork.
- Reduces maintenance effort.
- Delivers reliable software quickly.

3. Lean + XP Combined Workflow

The project combines Lean principles with XP practices to create an efficient software development process.

Lean + XP Workflow

Customer Requirements

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Identify Customer Value

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Remove Lean Wastes

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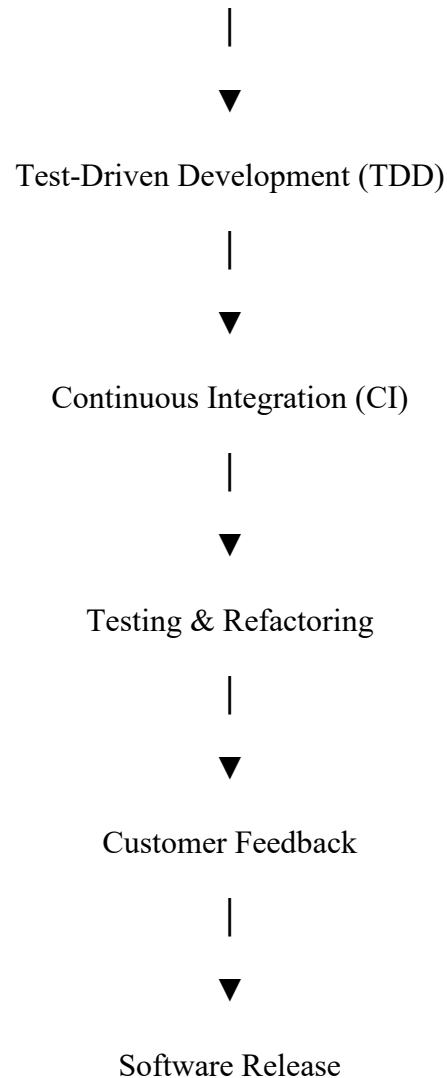


Sprint Planning

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Pair Programming



Workflow Description

1. Collect customer requirements.
2. Identify valuable features.
3. Remove unnecessary work using Lean principles.
4. Plan development tasks.
5. Develop software using Pair Programming.
6. Write test cases before coding (TDD).
7. Continuously integrate and test the code.
8. Refactor the code for better quality.
9. Collect customer feedback.
10. Release the software.

4. User Story with Acceptance Criteria

User Story

Title: Book an Online Tutoring Session

User Story

As a student, I want to search for available tutors and book an online tutoring session so that I can learn from the tutor at my preferred time.

Acceptance Criteria

Condition

Student logs into the application.

Student searches for a subject.

Student selects a tutor.

Student chooses an available time slot.

Student confirms the booking.

Booking is completed.

Expected Result

Login is successful.

Available tutors are displayed.

Tutor profile is displayed.

Booking option becomes available.

Booking confirmation message is displayed.

Tutor and student both receive notifications.

Acceptance Test

Test Case: Tutor Booking

Step 1: Login as Student.

Expected Result: Login successful.

Step 2: Search for "Mathematics".

Expected Result: Available tutors are displayed.

Step 3: Select Tutor.

Expected Result: Tutor profile opens.

Step 4: Select Available Time Slot.

Expected Result: Booking button becomes active.

Step 5: Confirm Booking.

Expected Result: Booking confirmation message appears.

Step 6: Check Notifications.

Expected Result: Student and tutor receive booking confirmation.

Real-World Example

Suppose a student wants to attend an online Physics class.

Without Lean and XP:

- Developers build unnecessary features.
- Bugs remain undetected.
- Software delivery is delayed.

Using Lean + XP:

- Only essential features are developed.
- Pair Programming reduces coding mistakes.
- TDD catches bugs before deployment.
- Continuous Integration detects errors early.
- Students receive a stable and reliable tutoring platform.

Lean + XP Development Process (Pseudocode)

START

Collect customer requirements.

Identify valuable features.

Remove unnecessary work (Lean).

Plan development tasks.

Develop code using Pair Programming.

Write test cases before coding (TDD).

Integrate code continuously.

Run automated tests.

IF defects are found THEN

Fix defects.

Refactor code.

ENDIF

Collect customer feedback.

Release software.

Repeat for next iteration.

STOP

Conclusion

The combination of **Lean Software Development** and **Extreme Programming (XP)** helps the development team build a high-quality real-time tutoring platform efficiently. Lean eliminates unnecessary work such as waiting, extra features, and defects, while XP practices like Pair Programming, Test-Driven Development, Continuous Integration, and Refactoring improve software quality and reliability. The user story and acceptance criteria ensure that customer requirements are clearly understood and verified before software delivery.

Problem 4: Scaling Agile Using SAFe for Banking Software

Scenario: A large organization building a digital banking platform must coordinate 10+ teams working on payments, credit scoring, fraud detection, and dashboards.

Task:

Explain how SAFe structures work across teams, describe essential SAFe roles, outline a PI planning approach, and identify major risks.

Deliverables:

- Explanation of Agile Release Trains (ARTs)
- Description of key SAFe roles
- Program Increment (PI) planning workflow
- Risk identification & mitigation plan

Reasoning:

Large companies adopt SAFe to manage complex, multi-team projects. Students learn real enterprise-scale Agile coordination.

Scenario

A large financial organization is developing a **Digital Banking Platform** with multiple features such as **online payments, credit scoring, fraud detection, account management, and customer dashboards**. More than **10 Agile teams** are working simultaneously on different modules. To coordinate these teams efficiently, the organization adopts the **Scaled Agile Framework (SAFe)**. SAFe provides structured planning, coordination, and communication to ensure all teams work toward a common business goal.

1. Explanation of Agile Release Trains (ARTs)

An **Agile Release Train (ART)** is a group of Agile teams (usually **5–12 teams**, or **50–125 people**) that work together to deliver value continuously. Instead of each team working independently, all teams coordinate their work, share a common vision, and deliver software together during a **Program Increment (PI)**.

In the banking project:

- One team develops the **Payments Module**.
- Another team develops **Credit Scoring**.
- Another team develops **Fraud Detection**.
- Another team develops the **Customer Dashboard**.

All these teams work together through the Agile Release Train to ensure the final banking application functions correctly.

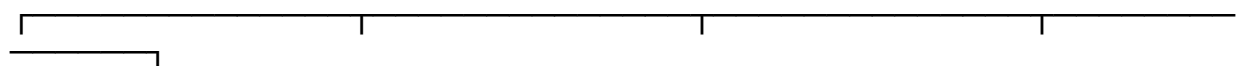
Characteristics of an Agile Release Train (ART)

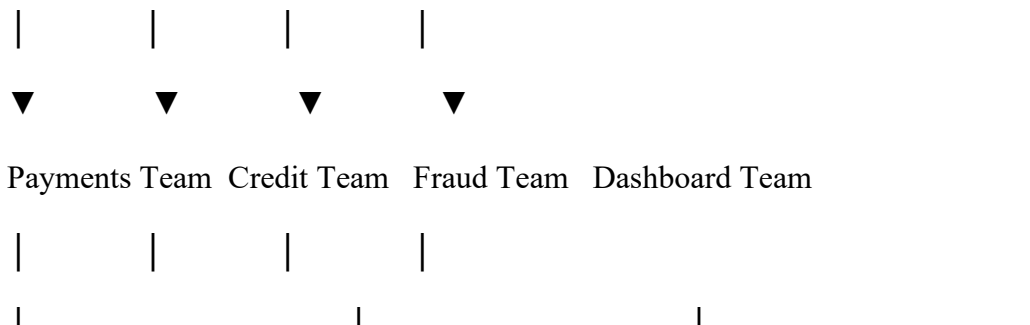
- Consists of multiple Agile teams working together.
- Delivers software continuously.
- Shares a common Product Backlog.
- Follows the same Program Increment schedule.
- Encourages collaboration and communication.
- Focuses on delivering customer value.

ART Structure

Agile Release Train (ART)

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Deliver Banking Software

2. Description of Key SAFe Roles

SAFe defines several important roles that help coordinate work across multiple Agile teams.

SAFe Role	Responsibilities
Release Train Engineer (RTE)	Leads the Agile Release Train, coordinates teams, removes obstacles, and ensures smooth execution of Program Increments.
Product Manager	Defines product vision, manages the Program Backlog, and prioritizes business features.
System Architect	Designs the overall software architecture and ensures technical consistency across all teams.
Business Owner	Represents business stakeholders, approves priorities, and evaluates delivered business value.
Scrum Master	Guides individual Agile teams, facilitates Scrum events, and removes team-level obstacles.
Product Owner	Manages the Team Backlog, clarifies user stories, and works closely with developers.
Development Team	Designs, develops, tests, and delivers software increments.

Role Summary

- **Release Train Engineer** → Coordinates all Agile teams.
- **Product Manager** → Decides what features should be built.
- **System Architect** → Designs the technical architecture.
- **Business Owner** → Represents business goals.
- **Scrum Master** → Supports each Agile team.
- **Product Owner** → Manages team requirements.
- **Development Team** → Builds the banking application.

3. Program Increment (PI) Planning Workflow

A **Program Increment (PI)** is a planning period (usually **8–12 weeks**) during which all Agile teams work together to achieve common objectives.

PI Planning Steps

Step 1: Business Vision

Business Owners explain the project goals and expected business outcomes.

Step 2: Product Vision

The Product Manager presents the important features planned for the upcoming Program Increment.

Step 3: Team Planning

Each Agile team selects user stories, estimates work, and plans sprint activities.

Step 4: Identify Dependencies

Teams identify dependencies between different modules such as payments, fraud detection, and dashboards.

Step 5: Risk Assessment

Potential technical and business risks are discussed and documented.

Step 6: Final PI Plan

Program Increment Workflow

Business Vision



Product Vision



PI Planning Meeting



Team Planning



Identify Dependencies



Risk Assessment

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PI Objectives Finalized

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Development & Deliver

Benefits of PI Planning

- Improves communication among teams.
- Reduces misunderstandings.
- Aligns all teams with common business goals.
- Helps identify dependencies early.
- Improves project predictability.

4. Risk Identification & Mitigation Plan

Large software projects involve several risks that may affect project success.

Risk	Impact	Mitigation Plan
Poor communication between teams	Project delays	Conduct regular PI meetings and daily Scrum meetings.
Requirement changes	Sprint disruption	Freeze PI objectives and manage changes carefully.
Technical integration issues	Software failures	Use Continuous Integration and frequent system testing.
Security vulnerabilities	Data breaches	Perform regular security testing and code reviews.
Resource shortages	Delayed delivery	Proper resource planning and backup staffing.
Dependency conflicts	Delayed modules	Identify dependencies during PI Planning.
System performance issues	Poor customer experience	Conduct performance testing before release.

Risk Management Process

Identify Risks

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Analyze Risks

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Prioritize Risks

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Prepare Mitigation Plan

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Monitor Risks

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Review During PI

Example

Suppose the **Payments Team** changes the payment API.

Without SAFe:

- The Fraud Detection Team and Dashboard Team may not know about the change.
- Integration failures occur.
- Project deadlines are missed.

Using SAFe:

- The change is discussed during PI Planning.
- All dependent teams update their work plans.
- Continuous Integration detects issues early.
- The banking platform is delivered successfully.

SAFe Development Process (Pseudocode)

START

Define business goals.

Create Agile Release Train (ART).

Assign SAFe roles.

Prepare Program Backlog.

Conduct PI Planning.

Each team plans Sprint tasks.

Identify dependencies.

Identify project risks.

Develop software.

Perform Continuous Integration.

Test complete system.

Review PI objectives.

Deliver banking software.

Repeat next Program Increment.

STOP

Conclusion

The **Scaled Agile Framework (SAFe)** enables large organizations to coordinate multiple Agile teams working on complex software systems such as digital banking platforms. **Agile Release Trains (ARTs)** improve collaboration, while defined **SAFe roles** ensure clear responsibilities. **Program Increment (PI) Planning** aligns all teams with common business objectives and identifies dependencies early. A proper **risk identification and mitigation plan** helps reduce delays, integration issues, security risks, and resource conflicts. By adopting SAFe, organizations can deliver high-quality, secure, and scalable banking software efficiently.

Problem 5: Ethical Evaluation of an AI Hiring System

Scenario: A company building an AI hiring system discovers that the model produces biased results against certain applicant groups.

Task:

Analyze the ethical dilemma, apply data ethics principles, identify privacy concerns, and propose secure and ethical design practices.

Deliverables:

- Ethical issue identification
- Actions based on data ethics
- List of potential privacy risks
- Recommended ethical design measures

Reasoning:

As AI systems become widely used, understanding fairness, bias, privacy, and responsible AI development is essential for modern software engineers.

Scenario

A company has developed an **AI Hiring System** to automatically screen job applications and shortlist candidates for interviews. During testing, the company discovers that the AI model gives **biased results** by rejecting qualified candidates from certain applicant groups based on gender, age, ethnicity, or other personal characteristics. Before deploying the system, the company must identify the ethical issues, apply data ethics principles, protect user privacy, and implement responsible AI practices.

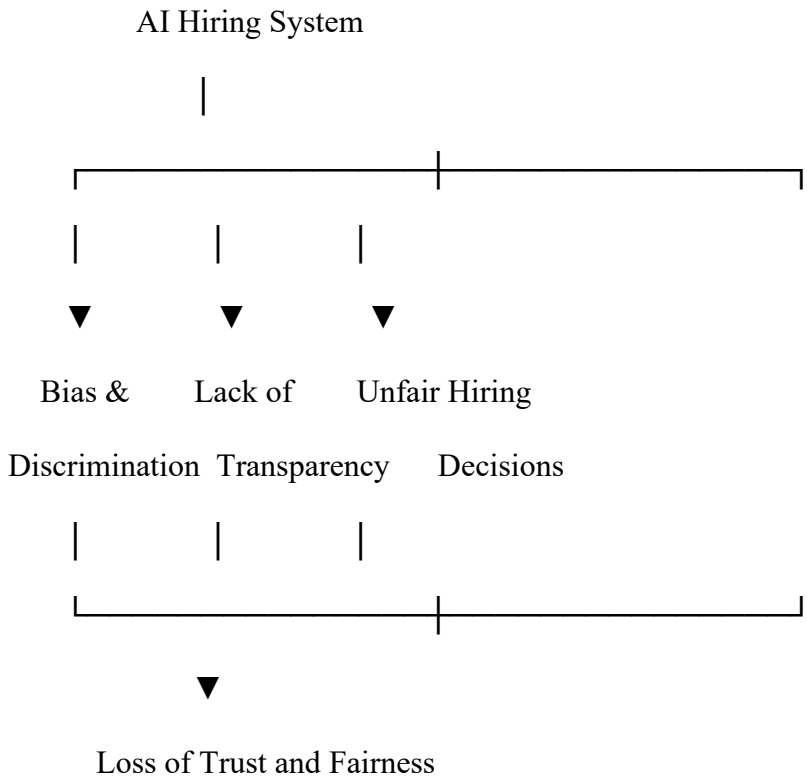
1. Ethical Issue Identification

Ethical issues arise when an AI system makes unfair or harmful decisions that negatively affect people.

Major Ethical Issues

Ethical Issue	Description
Bias and Discrimination	The AI unfairly favors or rejects candidates based on gender, age, race, or other personal characteristics instead of skills and qualifications.
Unfair Decision-Making	Qualified applicants may lose job opportunities because of biased AI predictions.
Lack of Transparency	Candidates may not understand why the AI rejected their applications.
Lack of Accountability	It becomes difficult to determine who is responsible for incorrect AI decisions.
Reduced Trust	Applicants may lose confidence in the company's recruitment process.

Ethical Issue Diagram



2. Actions Based on Data Ethics

Data ethics ensures that AI systems are developed and used fairly, responsibly, and transparently.

Data Ethics Principles and Actions

Data Ethics Principle	Action
Fairness	Train the AI model using diverse and balanced datasets to reduce bias.
Transparency	Clearly explain how the AI makes hiring decisions.
Accountability	Assign responsibility to qualified personnel for monitoring AI decisions.
Accuracy	Regularly test and validate the AI model to improve prediction accuracy.

Data Ethics Principle	Action
Human Oversight	Allow human recruiters to review AI decisions before rejecting applicants.
Inclusiveness	Ensure equal opportunities for applicants from all backgrounds.

Benefits of Data Ethics

- Promotes fair hiring.
- Reduces discrimination.
- Increases trust in AI systems.
- Improves decision quality.
- Ensures responsible use of artificial intelligence.

3. List of Potential Privacy Risks

The AI Hiring System processes sensitive personal information. Improper handling of this data may create privacy risks.

Privacy Risk	Description
Unauthorized Access	Hackers or unauthorized users may access applicant information.
Data Breach	Personal information may be leaked due to cyberattacks.
Identity Theft	Stolen applicant data may be misused for fraudulent activities.
Excessive Data Collection	Collecting unnecessary personal information increases privacy risks.
Data Sharing Without Consent	Applicant information may be shared without permission.
Poor Data Storage	Weak security measures may expose confidential information.

Privacy Risk Flow

Applicant Data

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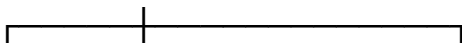
AI Hiring System

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Possible Privacy Risks

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Data Unauthorized Identity

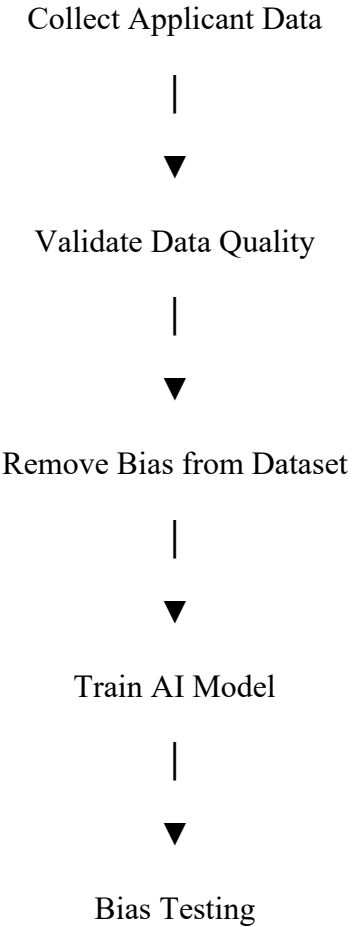
Breach Access Theft

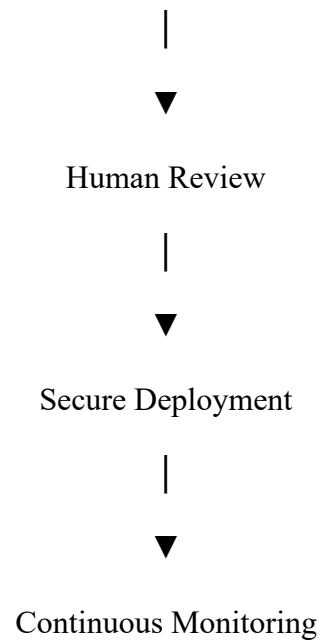
4. Recommended Ethical Design Measures

The company should follow secure and ethical software development practices while building the AI Hiring System.

Ethical Design Measure	Purpose
Use Balanced Training Data	Reduces bias and improves fairness.
Perform Regular Bias Testing	Detects unfair decisions before deployment.
Encrypt Personal Data	Protects applicant information from unauthorized access.
Role-Based Access Control	Allows only authorized staff to access sensitive data.
Human Review of AI Decisions	Prevents incorrect automatic rejection of candidates.
Explainable AI (XAI)	Makes AI decisions understandable and transparent.
Regular Security Audits	Identifies vulnerabilities and improves system security.
Obtain User Consent	Ensures applicants know how their data will be used.

Ethical AI Development Workflow





Real-World Example

Suppose two applicants apply for the same software engineering job.

- **Applicant A:** Highly qualified female candidate.
- **Applicant B:** Less qualified male candidate.

If the AI system selects Applicant B only because the training data contains historical gender bias, then the AI system is acting unfairly.

Improved Solution

- Use balanced and diverse training data.
- Test the AI model regularly for bias.
- Allow human recruiters to review AI recommendations.
- Explain the reasons behind every hiring decision.

This ensures that candidates are selected based on **skills, qualifications, and experience**, rather than personal characteristics.

Ethical AI Evaluation Process (Pseudocode)

START

Collect applicant data.

Check data quality.

Remove biased or unfair data.

Train AI model.

Test AI for fairness.

IF bias is detected THEN

Retrain AI model.

ENDIF

Encrypt applicant information.

Allow human review of AI decisions.

Deploy AI system.

Monitor performance continuously.

STOP

Conclusion

The AI Hiring System presents significant ethical challenges because biased algorithms can produce unfair hiring decisions and reduce trust in the recruitment process. By following **data ethics principles** such as fairness, transparency, accountability, and inclusiveness, the company can develop a more responsible AI system. Strong **privacy protection measures**, including encryption, access control, and user consent, help safeguard applicant information. Regular bias testing, human oversight, and continuous monitoring ensure that the AI system remains secure, ethical, and fair for all applicants.